

GL – PHYSICAL LOGISTICS AUDIT PROGRAM #32-10-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
January 2025	Reference Material	Planning Audit Protocol - Required Reading	Jusefina Mueller	Removed reference to PROC146 (rescinded September 2024) Removed paragraph "IBM/ Trade Compliance Audit Protocol" Replaced paragraphs "Protocol for Auditing – North America Audits", "Protocol for Auditing - Europe Audits", "Protocol for Auditing - Middle East/Africa Wide Audits", "Protocol for Auditing - Asia Pacific Audits", and "Protocol for Auditing – Latin America Audits", by "Protocol for Auditing"
January 2024	Process and Objective	Planning: Self-Serve Information	CA&AS	Added the section
January 2024	Key Assessment Questions	Key Control Question	CA&AS	Removed test "Measurements" MS002.P to resolve a duplication. Renamed SM001.P from "Divested Environment Metrics" to "Measurements". Updated the format of EM001.P to recognize 8 tests to be done. Updated links for SA001.P.
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

On a worldwide basis, the physical logistics process covers the GL (global logistic) Control Tower management and oversight of the outsourced supplier services such as management of the receipt of goods and materials, transportation, customs, warehousing, packaging, shipment, material disposal, and financial controls. However, individual country missions and the organization established to fulfill them will determine the degree to which each of these activities applies locally and if other activities need to be considered such as procurement.

Details to the history of the GL outsourcing can be found in the chapter “Planning” under the section “Protocol for Auditing/In an Outsourced Environment”.

Receiving and shipping goods is managed by Lead Logistics Providers (LLP/LLP+) on behalf of IBM. IBM maintains legal responsibility as importer and exporter of record for IBM physical logistics activities executed by LLP/LLP+. Under Global Logistics, the relationship with LLP/LLP+ is managed on a worldwide level, and representatives in each geography are expected to work with the provider to ensure customer requirements and expectations are met.

This audit program does not include import and export controls. In the US and certain large non-US facilities these processes are separate auditable units at each plant site. In certain other geographies, portions of these audit programs should be included in the performance of the physical logistics audit. These processes are covered in audit programs 32-50-00 (Imports) and 32-80-00 (Exports), and either or both audit programs should be included as part of the scope the audit engagement at the time the announced letter is sent.

Local distribution organizations may have been delegated procurement responsibilities. If this is the case, audit program 44-00-00 (Procurement) should be used to audit this delegation. As a whole, the Worldwide Distribution Organization has been delegated authority by the IBM Chief Procurement Officer to commit funds for transportation and distribution services. CI ISC 46 states that the procurement delegation has been re-delegated by the director of Worldwide Distribution to line management and others provided business direction by the director. This should be considered when announcing the scope of the distribution audit.

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PLANNING: Audit Program Risk Alignment

GL – Physical Logistics

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Supplier Management	High	Supplier Management	SM001.P, SM002.P, SM003.P All Control Points executed by suppliers
Management System	Medium	Management System	MS001.P
System Access and Separation of Duties	Medium	System Access and Separation of Duties	SA001.P, SA002.P
Inventory Control	Medium	Inventory Controls / Warehousing	IC001.P, IC002.P, IC003.P, IC004.P
Environmental Management	Medium	Environmental Management	EM001.P
Distribution Operation	Low	Distribution Operations (receiving / shipping)	DO001.P, DO002.P, DO003.P, DO004.P, DO005.P, DO006.P, DO007.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Customer shipment	Compare ship date to the Plant Scheduled Ship Date (PSSD)	a. Late shipment b. Early shipment	Impact customer satisfaction, missed revenue, premium freight charges, revenue claimed inappropriately.
Receipts and shipping recording	Verify a sample of physical receipts and shipping and check if the records in the logistics systems are in line with the documentation	Delayed, incomplete or inaccurate recording	Potential customer dissatisfaction
Inventory adjustments	Re-occurring adjustments for same product. Timing of adjustment	Lack of control of assets, manipulation of metrics results	Inaccurate measurements, potential loss
Vendor payment verification	Analyze payments documentation, rate verification, errors correction if any	Incorrect documentation, wrong rate used, services not timely invoiced, error not corrected in a timely manner	Potential financial loss
Premium rates	Business justification and appropriate rate applied	Wrong rates charged, premium rate applied while responsibility not with IBM	Inefficient control of rates applied by supplier
Inventory adjustments	Re-occurring adjustments for same product. Timing of adjustment	Lack of control of assets, manipulation of metrics results	Inaccurate measurements, potential loss
List of claims	Analyze sequence of events, completeness of reporting	Missing losses in delivery metrics, insurance claims incomplete or submitted not in a timely manner	Increased cost to IBM

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PLANNING: Self-Serve Information

Some information previously included in the Initial Data Request (IDR) items which continue to be relevant information in audits will now be extracted directly by the audit team. These are as follows:

Information previously in IDR	Instructional Materials to download information and applying for access to the source tool
• Mission statement • Responsibilities • Suppliers • Links to instructions (The business model should be presented during the process interviews)	https://w3.ibm.com/w3publisher/global-logistics/core-logistics
• The current organizational chart (The organization changes during the audit period should be presented during the kick-off meeting)	https://w3.ibm.com/w3publisher/global-logistics
• Process links	Program management: https://w3.ibm.com/w3publisher/global-logistics/program-management Supply chain security: https://w3.ibm.com/w3publisher/global-logistics/supply-chain-security-1 Operations management support: https://w3.ibm.com/w3publisher/global-logistics/oms
• Address Work File (AWF) (Auditors should request access to AWF Glaim Tool - desired portal role is IBM USERS)	https://awf.globallogisticstools.ibm.com/AWFQuery.jsp
• Global Logistics Acronyms	https://w3.ibm.com/w3publisher/global-logistics
• Management Self-Assessment of Controls (MSAC) • Risk Assessment (RA's) (Any additional material related to control posture / risks should be shared during the opening conference)	Error! Reference source not found.

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PLANNING: Reference Material

All IBM Organizations

- IBM Procurement Policies and Practices
- IBM Procurement Blue Book
- IBM Corporate Accounting Practices: AP INV-CON 12-20 Consignment Inventory Accounting and Control
- Accounting Instruction: AI – INVCA 13-001 Accounting for Freight / Duty / Brokerage
- Shipping Procedural Instructions (SPIs)
- Safety Bulletins
- Corporate Instruction CIO 127 - Business Continuity Management
- Corporate Instruction ITS 101- Information Technology Security Policy
- Corporate Instruction FIN 101- Control of Disbursements
- Corporate Instruction FIN 166 - Risk Evaluation - Corporate Directive Deviation
- Corporate Instruction PROC 167 – Supplier Sourced Goods and Services
- Corporate Instruction FIN 182 - Management Self Assessment of Control
- Corporate Instruction LEG 108 - The Emergency Planning Program
- Corporate Instruction LEG 110 - The IBM Security Program
- Corporate Instruction LEG 112 and LER 102 - Export, re-export, and delivery of United States hardware, software, and technology: IBM requirements and organizational responsibilities
- Corporate Instruction LEG 113 - Boycotts by Foreign Countries - Worldwide Prohibition and Reporting Obligation
- Corporate Instruction LEG 116 - Classification and Control of IBM Information
- Corporate Instruction LEG 117 - Internet Privacy - Personal Information Collected On-line
- Corporate Instruction GRA 122 - Responsibility for Customs and Import Controls
- Corporate Instruction F&O 163 - Global Asset Recovery Services
- Corporate Instruction PROC 164 - Hazardous Materials (Dangerous Goods) Transport
- Corporate Logistics Manual Procedures:
 - Corporate Logistics Procedure 10.13 - Asset Protection: Normal and Sensitive Parts Security
 - Corporate Logistics Procedure 10.15 - Asset Protection: Returned Parts MES and EC Process Requirements

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Shipments from the sites and/or distribution centers misappropriated, shipped date and completeness of shipment wrongly documented. Emergency Orders (EO) edited and backdated. Proof of Delivery (POD) form fabricated. Facilitation payments made to expedite or circumvent the shipping / importation process.	• Key operational controls (KCO) addressing the shipping validation, i.e., Shipping, Address Change, and Proof of Delivery KCOs • Management system established with the supplier	Verify that the shipping procedures are consistent with corporate revenue recognition requirement. Obtain a current listing of shipments for the audit period, select a sample, and test to ensure customer scheduled date, ship date, documentation, and logistics recording date match requirements. Test for anomalies in the duration of the importation process.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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PLANNING: Audit Protocol - Required Reading

Protocol for Auditing/In an Outsourced Environment

In 2017, IBM Global Logistics began implementing the rebidding and awarding of contracts to replace the single contract for the outsourcing of worldwide logistics operations.

Project Madrid is a multi-contract implementation which began in March of 2018 and was concluded in the third quarter of 2019.

There are 11 “Pipelines” of logistics operations which support international and domestic shipments globally. There are multiple suppliers under contract to execute the logistics operations. These suppliers will be referred to as IBM Logistics suppliers, LLP or LLP+ within this document.

IBM/Logistics Supplier Audit Protocol

This protocol is to cover formal reviews, inspections, and or audits with the intent to provide both companies a framework to conduct these engagements in an efficient and productive manner.

These engagements are conducted with the intent to determine the controls health of key processes and to implement process improvements to assure and sustain a strong controls posture. This is beneficial to both companies to meet an environment of increasing regulatory and legal requirements.

In some cases, Lead Logistics Providers (LLPs) use and manage a network of suppliers that are contracted to IBM. In other cases, described as LLP+ below, the logistics provider uses and manages their own network of suppliers. LLP+/LLP suppliers have assumed direct responsibility for IBM's physical logistics needs. While LLP+/LLP suppliers are IBM's partners, they are separate legal entities, not owned by IBM.

IBM Global Logistics no longer has a direct contract responsibility with LLP+/LLP sub-tier suppliers. The contract responsibility with the 3PL service providers is now owned and managed by LLP+/LLP suppliers.

Primary point of contact for reviews, inspections, and or audits is with the IBM Control Tower representative.

The standard notification from IBM to LLP+/LLP suppliers will be 30 days in advance of review. There will be circumstances; however, where the schedule will be dictated by other factors, such as preparation for a short notice customs audit, resulting in less than 30-day notification.

Each LLP+/LLP shall establish a point of contact for specific engagements. LLP+/LLP supplier will assign a company representative to speak on behalf of the company in discussions. When requests fall into LLP+/LLP area of responsibility the IBM Control Tower representative will involve the designated supplier interface.

As a practice, requests of LLP+/LLP suppliers or sub-tier suppliers should be focused on results and not with the supplier owned processes, procedures or work instructions. Because of IBM's regulatory and legal risks/liability, requests for data and observation of LLP+/LLP supplier's or sub-tier supplier's security measures and certain processes at an execution or activity level will be generated for trade compliance reviews.

LLP+/LLP suppliers will establish a management system to support requests originated by IBM. The LLP+/LLP supplier interface will involve the process owner in LLP+/LLP supplier sub-tier suppliers as required. LLP+/LLP suppliers will use reasonable effort to support requests within 24 hours.

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PLANNING: Audit Protocol - Required Reading (Continued)

Reports (formal audits or other IBM internal reviews) will not specifically identify LLP+/LLP suppliers by name but will refer to them as the "supplier/vendor or any other appropriate designation". However, IBM reserves the right to identify LLP+/LLP suppliers by their corporate names when necessary and will consult Legal about any circumstances that this may be a requirement, e.g. a trade compliance audit. The IBM Control Tower representative will validate and confirm all facts related to LLP+/LLP supplier executed processes with them prior to signing or agreeing with the IBM internal reviewer's/inspector's/auditor's results.

Resulting findings, recommendations, and actions directed at the sub-tier supplier should be addressed using the current management system and, if needed, the Change Management Request (CMR) process established in the Statement of Work (SOW). This should be focused on the results with the sub-tier supplier implementing those actions they deem necessary to deliver the expected results.

Protocol for Auditing

1. During the IDR phase of the audit, information will be requested for the countries in scope to make a risk-based decision which locations the audit team should travel to in order to conduct the physical location part of the audit program.
2. During week 1 of the audit, the team will be in the designated audit location and all process presentations and interviews will be held at the location.
3. Once the decision is made on which locations to visit, part of the team will travel to those sites and perform the physical testing (if necessary).

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Management System

Objective:

To determine that the Control Tower (line management) has implemented a process to ensure that the contracts requirements are being met and there is an established method for the validation of goods or services received. In addition, determine if payments to the supplier are in accordance with the contractual terms and conditions, measurements are in place to monitor vendor performance, assets are being safeguarded, and validate that the Control Tower is managing the performance reviews of LLPs/LLP+.

Risk/Exposure:

If management had not established a process for the verification of receipt of goods or services, then payments could be made for goods or services not received. Contract terms and conditions, including a clear definition of the scope of work, must be clearly stated in the contract, or prolonged disputes with vendors could impact future delivery of goods or the continuity of services. Failure to adequately control IBM assets at the LLPs/LLP+ could result in supplier relation problems, loss of IBM assets, diminished customer relations, or non-compliance with government regulations. In addition, if proprietary information was not carefully controlled, IBM could lose marketplace advantage.

Failure of suppliers to meet established performance targets decreases IBM's ability to provide high-quality, low-cost products and services to our customers. Additionally, the absence of a good internal measurement system creates an environment for fraud to occur and can lead to excessive expenditures.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Management System

Primary Test: Processes - Roles and Responsibilities (MS001.P)

Objective:

To determine if the IBM Control Tower management system put in place is adequate to control the execution of the supplier's contract and takes into account the requirements from the WW Control Tower as well as local requirements.

Approach:

Review the management system and roles and responsibilities documentation which has been developed by IBM.

Ensure that this documentation clearly describes who does what in the validation and controls of the execution of the supplier's contract.

Check the compliance of this documentation with the WW Control Tower and local requirements if applicable.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. System Access and Separation of Duties (SOD)

Objective:

Is there adequate access, update capability controls, and separation of duties to prevent unauthorized changes to programs or fraudulent transaction processing?

Risk/Exposure:

Separation of duties involves the assignment of responsibility for a transaction in a manner such that the duties of one employee automatically provides a cross-check of the work of one or more other employees. The primary purpose of separation of duties is the prevention and prompt detection of errors or irregularities in the performance of assigned responsibilities. Functions are considered to be incompatible from a control standpoint when it is possible for an individual to commit errors or irregularities in the normal course of their duties and to prevent their detection by the system. Individuals with incompatible job responsibilities and system access capabilities are an exposure to IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. System Access and Separation of Duties (SOD)

Primary Test: System Access (SA001.P)

Note: Application SOD should be reviewed by CA&AS with application owner.

Objective:

To verify that management controls and authorization of all accesses to the application and data can be demonstrated and are in line with IBM's security requirements.

Approach:

Process Risk

Unauthorized persons may gain access to the application and its resources enabling them to enter unauthorized transactions or to make unauthorized changes to data or programs.

Testing Strategy

Select a sample of user IDs and test for authorization and revalidation. Their accesses should be based on a valid business need justification and auditable records should be maintained to show compliance with IBM security standards.

Select a sample of employees who had access to IBM systems and have left the supplier's company and ensure that their access was revoked in a timely manner.

Reference Material

ITSS – IT Security Standards: <https://pages.github.ibm.com/ciso-psg/main/standards/itss.html#chapter-2-end-user-device-management-and-configuration-requirements>

Fin 182 - Management Self Assessment of Control: <https://w3.ibm.com/w3publisher/corporate-documents/fin/fin-182>

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. System Access and Separation of Duties (SOD)

Primary Test: Separation of Duties (SA002.P)

Objective:

To verify that no one individual had incompatible responsibilities that would allow the system of internal controls to be circumvented and to ensure employee's responsibilities, system access, and physical access to inventory are properly segregated.

Approach:

Process Risk

Undetected Fraud - An individual with job responsibilities and/or system access capability which would permit the initiation and concealment of irregular activity or fraudulent payments, resulting in financial IBM loss.

Testing Strategy

Review the IBM SOD assessments. They should include job responsibilities, physical access to inventory, and all critical application accesses, and be regularly reviewed and validated.

Ensure that for SOD assessments conflicts were appropriately identified and resolved.

If approved risk acceptances were in place to address SOD issues, ensure that the secondary controls were adequate and executed.

Reference Material

Corporate Instruction (CI) Finance (FIN) 101 - Control of Disbursements:

<https://w3.ibm.com/ibm/corporate-documents/fin/fin-101>

Corporate Procedure 10.13 – Asset Protection:

<https://ibm.ent.box.com/s/0z0zregs7r4wjs7licj7ktwyconiy9qq>

CI FIN 182 - Management Self Assessment of Control: <https://w3.ibm.com/ibm/corporate-documents/fin/fin-182>

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Objective:

To distribute authorized commodities within IBM, from suppliers to IBM, and to customers. Commodities are to be consistently delivered to the right place, on time and at the best value. Also, to safeguard assets from loss by implementing proper physical and financial controls throughout the distribution process.

Risk/Exposure:

Commodities could be exposed to loss if the management control system does not ensure that assets are effectively and safely received and accurately recorded when received. Ineffective controls over material tracking could result in material loss to IBM through mis-shipments and theft as well as customer dissatisfaction.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Receiving (DO001.P)

Note: This section only applies when LLP/LLP+ is responsible for performing this activity at a site.

Objective:

To determine if the supplier's process execution results, measurements, and related documentation were effective in ensuring the timely and safe receipt of commodities and materials. To confirm that commodities and materials, including sensitive parts, were effectively and safely received, in an accurate and timely manner, and moved to the point of usage or storage.

Approach:

Process Risk

Untimely, inaccurate receipt of materials can result in missed shipments and could result in customer dissatisfaction.

If Miscellaneous Equipment Specification (MES) returns are not processed timely and in accordance with Returned Material Equipment Report (RMER) instructions provided by the plant, losses may go undetected (note: the plants own the overall end to end Worldwide Returned Parts MES (RPMES) Process).

Testing Strategy

Obtain documentation from the supplier which demonstrates, on the basis of a sample of shipments, that delivery was processed accurately (validation of Proof of Receipt) and within established time frames, according to the statement of work. Verify that the requested method of shipment was used.

Select a sample of RPMES returns at Central Distribution Center (CDC) and ensure that a timely accurate transaction was processed and the RPMES disposition was compliant with the plant RMER instructions.

Test the physical delivery of the goods. Contact the recipient of the goods and get confirmation regarding the delivery date, quantity, etc.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Shipping (DO002.P)

Objective:

To determine if the supplier's process execution results, measurements and related documentation verify that all shipped assets and materials were controlled, protected from loss, and shipped completely, intact, and in accordance with contracts requirements

Approach:

Process Risk

Untimely, inaccurate shipment of product/materials can result in missed shipments and affect customer satisfaction.

Access to materials by unauthorized individuals and failure to account for all assets can result in undetected losses.

Testing Strategy

Review the monthly metrics related to supplier's on-time delivery to demonstrate that customer delivery date expectations were met. These are the key metrics for shipment tracking.

Ensure that IBM validation includes review that the supplier controls are in place and working as intended to record shipped assets and the movement from inventory. Determine that customer shipments can be tracked.

Ensure the IBM validation includes review that the supplier controls are in place and working as intended for the shipment of sensitive parts, and for proper packaging, including the use of tamper proof materials.

Obtain independent confirmation of delivery from the recipient, as a means to validate the accuracy of the supplier's records.

Reference Material

Global Logistics Home Page: <https://w3.ibm.com/w3publisher/global-logistics>

Global Logistics Guidelines: <https://w3.ibm.com/w3publisher/global-logistics/guidelines>

Data Mining

Review supplier's monthly on time delivery metrics.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Special Handling / Security Shipments (DO003.P)

Objective:

To determine if the supplier's process execution results, measurements, and related documentation ensure that all special shipments requiring secure transportation and additional security protection during shipment were processed, handled, and tracked per the required security requirements outlined in the contract.

Note: Global Logistics provides transportation logistics for finished goods and parts commodities and assets identified as requiring protection during transportation and storage within a local country and globally within the logistics networks.

Approach:

Process Risks

Untimely, inaccurate shipment of product/materials can result in missed and lost shipments and effect customer commitments.

Possible loss of assets if supplier is not providing the specified level of security for shipment of products / parts in the shipping instructions and as defined in the contract.

Testing Strategy

Ensure the IBM management system includes verification that the following is executed:

- End-to-end monitoring of the shipments.
- Positive confirmation of delivery is required.
- Buyer system will be updated to record delivery.
- Buyer management and security departments are alerted promptly in the event of an irregularity.

IDRs

List of security and hand carry shipments.

Reference Material

Global Logistics Guidelines – Section 8.0 Transportation Security.

Data Mining

Analyze security shipments for trends at quarter-end and those with reported security losses.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Expedite Activity (DO004.P)

Objective:

To determine if requests to expedite domestic or foreign trade shipments were handled timely and accurately by supplier in accordance with contract requirements.

Approach:

Process Risks

Inaccurate shipment of product, materials, or parts can result in shipments impacting customer commitments, since such shipments would not accurately provide customers with the required support.

Testing Strategy

Ensure all expedite requests are supported by IBM approvals.

Determine what controls are in place to assure customer expedited shipments are meeting the shipping requirements and customer needs for an expedited service.

Verify that the supplier's records for expedite shipments are available and retained as required by the local process.

Determine if any facilitation payments were made to expedite shipment, and if so, were these payments in accordance with local laws and regulations.

Reference Material

Contract reference

Data Mining

Analyze expedite requests, along with performance measurements for trends during quarter-end and for the same customer for on time expedite deliveries.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Records Management (DO005.P)

Objective:

To determine that records are managed as required in the contract.

Approach:

Process Risks

Non-compliance to contract requirements could result in IBM's non-compliance with corporate legal requirements and country specific requirements for conducting IBM's business.

Testing Strategy

Ensure that a records retention management is in line with the contract requirements.

Reference Material

Contract element regarding records management.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Undeliverable Freight (DO006.P)

Objective:

To ensure resolution for carrier air and surface shipment delivery problems is properly performed. This covers, but is not limited to, refused shipments, misdirected or redirected shipments, bad addresses, and customer canceled orders, while in transit within country.

Note: this does not include Foreign Trade shipments that have not cleared customs.

Approach:

Customer Commitments

Untimely and / or inaccurate shipment of Finished Goods may result in late and/or missed shipments that could affect customer commitments.

Testing Strategy

Ensure that, according to the contract:

- The supplier has provided monthly data to IBM for undeliverable freight.
- IBM has oversight of the supplier management system which addresses IBM undeliverable freight items.
- The supplier has retained records of undeliverable or redirected freight shipments for prior 12 months.

IDRs

IBM monthly data for undeliverable shipments for the audit period.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Distribution Operations (Receiving / Shipping)

Primary Test: Loss Damage Claims (DO007.P)

Objective:

To ensure that the supplier monitors and track and reports loss and damage claims to IBM. Ensure the insurance claims for loss and damaged materials were properly completed, approved, and processed per the contract requirements.

Approach:

Process Risk

Execution failure by the Control Tower to monitor, track and report insurance claims for loss and damaged materials timely and accurately could result in inaccurate supplier and IBM performance.

Testing Strategy

Verify that IBM has a management system to validate the carrier/insurance claims, metrics and closure.

IDRs

Supplier's monthly claims metrics and supplier's monthly aging report.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Inventory Controls / Warehousing

Objective:

Does the Control Tower have a management system which includes results reporting on an ongoing basis to provide IBM with timely visibility to supplier inventory results?

Validate that this is performed in line with IBM and supplier contract requirements.

*Note: This process is limited to a few entities. Scrapping of parts is usually within the GARS scope of work.

Risk/Exposure:

The lack of IBM oversight of supplier execution regarding the contractual criteria for inventory controls could impact the integrity of IBM's owned reported assets.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Inventory Controls / Warehousing

Primary Test: Physical Security (IC001.P)

Note: This section is applicable only at sites where LLP/LLP+ have inventory liability.

Objective:

To determine if IBM has appropriate level of oversight regarding the supplier's execution results, which validate that IBM's assets are protected.

Approach:

Assets protection - Verification of supplier evidence regarding the protection of IBM assets at supplier locations as defined in the contract.

Testing Strategy

Review the contract element regarding physical security. Ensure the supplier has reviewed and validated the third-party logistics (3PL) test for specific controls related to the various types of security level for designated space.

Review designated space area for APC-4 classified (sensitive) parts if applicable.

IDRs

The supplier's security assessment.

Reference Material

Requirements in the contract.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Inventory Controls / Warehousing

Primary Test: Supply Chain Security (IC002.P)

Objective:

To validate if IBM's Supply Chain Security (SCS) commitments have been incorporated into all global manufacturing and distribution facilities. Specifically, to determine that an annual assessment of IBM's compliance with supply chain security requirements and Authorized Economic Operator (AEO) program requirements has been performed and any corrective actions required have been implemented.

Approach:

Process Risk

Non-compliance with SCS requirements could expose IBM to loss or damage of assets and to criminal activities (theft, terrorism, introduction of unauthorized material, people, or weapons of mass destruction), increase the number of inspections and associated expenses, increase freight delays, and reduce the supply chain predictability. It could result in the IBM suspension or removal from partnership programs and attract negative publicity which could impact company brand value.

Review the process to determine the following:

- What was the result of the most recent supply chain security assessment (Import Compliance Office (ICO) Supply Chain Security Checklist)?
- What controls/tests are used to identify supply chain security deficiencies?
- How are identified deficiencies in the supply chain security assessment tracked for action plan development and closure?
- If the location participates in a government sponsored supply chain security program (e.g., AEO), were annual profile reviews and updates performed and communicated to the government within required timeframes? (In the U.S., the program is known as Customs-Trade Partnership Against Terrorism (C-TPAT). Although controls to prevent the introduction of items (terrorists, weapons of mass destruction, narcotics, money) into our supply chain are embedded throughout the enterprise, at a manufacturing or distribution center location you will be able to observe controls implemented as shipments are created and trucks/trailers/containers are stuffed with IBM products for international transportation.)

Location:

Assessments and Supply Chain Security checklists can be reviewed in the central location for all locations/countries. The observation of the execution (primarily stuffing of containers destined for transport) needs to be performed at shipping locations.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Inventory Controls / Warehousing

Primary Test: Inventory Controls and Verification (IC003.P)

Note: This section is applicable only at sites where the supplier has inventory liability.

Objective:

To determine if IBM has an effective management system in place to verify that the results reported by suppliers to IBM were accurate.

Approach:

Process Risks

Inventory Integrity. Validate that the management system was effective, that losses were detected and reported timely to IBM to support the claims process.

Missed business objectives. Inaccurate inventory records could negatively impact the requirements generation process, which relies on these records to calculate order points and quantities.

Testing Strategy

Determine if inventory counts were performed per the contract. Test against the following criteria:

- Request results for the period being audited.
- Review the results to determine if variance levels were calculated correctly and that the variances were in compliance with established parameters defined in the contract.

Review inventory movement metrics for trends, root cause, and action plans.

IDRs

- Inventory counts results for last 12 months.
- Inventory metrics for last 12 months.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Inventory Controls / Warehousing

Primary Test: Asset Controls (IC004.P)

Note: This process is limited to a few entities. Scrapping of parts and machines is usually within the GARS scope of work.

Objective:

To determine if the process for the final disposition of new and used parts and machines adequately protects IBM assets and if the process for impairment or scrapping of parts at vendor locations is performed in accordance with contract requirements.

Approach:

Ineffective management system of the results of the scrapping and disposal could result in financial and competitiveness loss to IBM and the misuse of assets.

Testing Strategy

Validate the IBM Control Tower Management System included supplier confirmation that impairment and scrapped services were properly executed including approvals, documentation, system updates, environmental requirements as identified in the contract.

Initial Data Request

List of all scrapped inventory including RPMES, and product quality.

Reference Material

Contract requirements

Data Mining

None

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Supplier Management

Objective:

To determine if the Control Tower has established processes and procedures to manage the scope of work assigned to the LLP/LLP+. Determine if the contract was established utilizing Procurement, included detailed scopes of work, change management requests, appropriate business and legal clauses, and defined supplier performance metrics. Also, determine if the contract was adequate to deliver the business objectives of a divested business.

Risk/Exposure:

Inadequate management of contractual requirements and supplier relationship could impact the continuity of service, could damage IBM's reputation, and affect IBM's profitability. Ineffective change management of contract requirements could lead to missed business objectives and additional costs. Ineffective management system for the verification of receipt of goods and services could lead to payments made for services not received.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Supplier Management

Primary Test: Measurements (SM001.P)

Objective:

To determine if appropriate key metrics were in place to provide management with visibility concerning the LLP/LLP+ performance against the requirements specified in the contract and scope of work.

Approach:

Review the Control Tower measurements to determine if the LLP/LLP+ performance criteria for procured goods and services was monitored and reported to management. Evaluate the management process for determining that key performance metrics were reported and within target.

1. Did the Control Tower establish key performance metrics with the LLP/LLP+, including frequency, management review method, and reporting to determine that the LLP/LLP was meeting its expected service levels?
2. Do key metrics focus on timeliness, quality, and quantity?
3. Are these key performance metrics included in the scope of work?
4. Is the LLP/LLP+ providing timely and accurate reporting of key metrics to IBM as required in the contract?
5. When the LLP/LLP+ performance targets were not met, was this documented and were action plans developed and followed?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Supplier Management

Primary Test: Invoice Validation (SM002.P)

Objective:

To determine that payments were for goods and services that had been received, were properly validated, approved and in compliance with the contract terms and conditions.

Approach:

Select a sample of invoice validation activity against the contract and test against the following criteria:

1. Was an independent verification of receipt of goods or services performed? Was documentation of this verification available to support payments made?
2. Did the invoice price and quantity match committed amounts from the contract?
3. Did payments exceed committed amounts in the contract including the established rates? Was there a method to validate and reconcile payment activity?
4. Were payments made in a timely manner according to the terms of the contract?
5. Did the invoice validation process include the capability to identify potential duplicate payments and prevent these situations? Verify that the same invoice number was not paid on different dates.
6. Review the process for requesting and receiving credits from the supplier. Assess controls to ensure that claims for shortages, returned goods, or deficient services were filed and resolved promptly, and that credit notes were received from the supplier promptly. Verify if there was adequate documentation explaining the credit reason.
7. Select a sample of credits and ensure that the credit amounts were properly recorded, and the credit amount was deducted from subsequent payments to the supplier or properly handled in another way.
8. Check prepayment reviews for "non-rate" fees and charges (special charges beyond standard approved transport rates). Verify these payments have been investigated to eliminate any risks of fraud, and to ensure they are in compliance with local laws and regulation.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 5. Supplier Management

Primary Test: Contract Management (SM003.P)

Objective:

To determine if the Control Tower has established processes and procedures to manage the scope of work assigned to the LLP/LLP+. Determine if the contract was established utilizing Procurement, included detailed scopes of work, change management requests, appropriate business and legal clauses, and defined supplier performance metrics. Also, determine if the contract was adequate to deliver the business objectives of an outsourced business.

Approach:

Process Risk

If management had not established a management system for the verification of receipt of goods and services, then payments could be made for services not received. Contract terms and conditions, including a clear definition of the scope of work, must be clearly stated in the contract, or prolonged disputes with vendor could impact the continuity of services.

Testing Strategy

Review the process documentation developed by the Control Tower (line management) that defined management's roles and responsibilities for meeting business objectives for outsourced operations.

Verify the following:

1. The responsibilities of the Control Tower had been clearly defined in the roles and responsibilities documentation.
2. Key performance metrics had been established by the Control Tower to monitor the supplier performance.

Review the LLP/LLP+ contract for the following criteria:

1. Did the scope of work clearly define the services to be performed by the supplier? Were these requirements complete and were deliverables defined and measurable?
2. Was the supplier key performance metrics specified in the contract? Had the Control Tower established a method for validating those services had been received and performed according to the contract?
3. Does the Control Tower have a set management system to monitor contract deliverables?
4. Did the Control Tower management system include oversight of operational change management elements?

IDRs

List of contract deliverables.

Data Mining

None

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Environmental Management

Objective:

To determine if Global Logistics is compliant with the environmental requirements related to registration, tracking, and reporting of Waste Electrical and Electronic Equipment (WEEE)/ Batteries /Packaging. The environmental requirements are based on country Extended Producer Responsibility (EPR) regulations, and the corresponding processes are established by the Environmental Affairs organization. In addition, verify if Global Logistics reported any notices of violations or government actions to Corporate Environmental Affairs (CEA) regarding EPR programs.

Risk/Exposure:

Failure to comply with the environmental legal requirements could lead penalties and fines from authorities and could impact continuity of business.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Environmental Management

Primary Test: Environmental Management (EM001.P)

Objective:

To determine if Global Logistics is compliant with the environmental requirements related to registration, tracking, and reporting of Waste Electrical and Electronic Equipment (WEEE)/ Batteries /Packaging. The environmental requirements are based on country Extended Producer Responsibility (EPR) regulations, and the corresponding processes are established by the Environmental Affairs organization. In addition, verify if Global Logistics reported any notices of violations or government actions to Corporate Environmental Affairs (CEA) regarding EPR programs.

Approach:

Testing Strategy: Review the documentation developed and maintained by Environmental Compliance (line management) for meeting Environment requirements.

1. Verify that GL is in compliance with the following:
 - a. Any registration, tracking, and reporting requirements for products and / or packaging to the government authorities and/or to the Collective systems per legal requirements, including the payment of product related fees / fund / tax tracking and reporting obligations.
 - b. Verify that IBM or the supplier in contract with IBM provided timely and accurate submissions and other specified data to IBM and / or authorities as required.

Guide Note: GL (or supplier) should be able to show any submissions they provided were on time. Randomly select a representative sample of reports in key high-risk countries and validate compliance.

- c. All communication with government authorities and/or Collective systems including reports are maintained by a designated person and records managed in accordance with GL EMS requirements.

Guide Note: GL does not perform product related transactional fees. DOU or Other communications should clearly lay out the responsibilities that are being transferred, include acceptance by the executing organization and the date from which this transfer of responsibility is in effect.

2. Authority Inspections and Control Sampling
Review results of government (local) authority inspections and control or enforcement actions for the previous 12 months. Verify that any notices of violation or other government actions have been reported to CEA per requirements of CI ENV 204.

Guide Note: Do NOT report CEA inspections or audits which result in no violations noted. Examples: Periodic packaging or WEEE reporting audits, Department of Transportation (DOT) audits of paperwork, training records related to HazMat transportation, etc. However, these still should be stored as a record per applicable Environmental Management System (EMS) requirements.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Environmental Management

Primary Test: Environmental Management (EM001.P)

3. Verify that GL or the supplier who executes GL operations achieved timely submission of accurate PELM Reports into CEA's Environmental Performance Database (EPD) and other specified data to IBM as required.

Guide Note: Within 15 days after the end of each calendar quarter organizations executing PELM operations must submit individual Quarterly PELM Metric Reports into the PELM Metrics Environmental Performance Database (EPD).

4. Verify if:
 - a. Hazardous or nonhazardous special wastes being shipped have the proper categorization and code (i.e., RCRA).
 - b. Take a representative sample of hazardous or nonhazardous special wastes shipped from a location (samples should include both in country and transboundary shipments) during the last 12 months and verify that proper waste category and code were identified.

Guide Note: GL should be aware that Waste classifications may vary among administrative jurisdictions (countries, states, municipalities, provinces, etc.). Prior to shipping, IBM must ensure that the proper Waste classifications are used, and all applicable regulatory requirements are met when Waste is transported from the point of generation to the point of recycling or disposal. Each shipment of hazardous wastes must be conducted in compliance with applicable (including local and international) legal requirements and IBM requirements, including TO 163 and IBM's CI ENV 204 on Waste Management. NOTE: Hazardous Material transportation related control questions are addressed in a separate PSA Questionnaire under title: 'Hazardous Material Transportation'. URL for CI ENV 204: <https://w3.ibm.com/ibm/corporate-documents/env>

5. Packaging, Marking, and Labelling Requirements
Take a representative sample of shipments (used IT products, parts and components and wastes) over the past 12 months and verify that these were in compliance with all packaging, marking, and labelling legal requirements.
6. Trans-Boundary Shipment Permit
Take a representative sample of shipments (waste and used IT products) in the past 12 months and verify that each shipment and waste treatment was conducted in compliance with all applicable legal requirements, including export / import pre-notification requirements and approvals in sending, transit and receiving countries.

Guide Note: CEA approval is only needed for NEWLY proposed Transboundary routings prior to implementation. To be coordinated by GL GARS Control Tower rep. Amber waste renewals do not need re-approvals from CEA.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 6. Environmental Management

Primary Test: Environmental Management (EM001.P)

7. Shipping Documentation Compliance

- a. Verify that in-country and trans-boundary shipping documentation for each shipment (used IT equipment and parts, hazardous and non-hazardous special waste) complies with all applicable legal requirements.
- b. Verify that the legally required shipping documentation is available for each shipment and those documents are retained according to legal requirements or the IBM Worldwide Records Management Plan, whichever is longer.
- c. Select representative samples of shipping documents (in different countries) generated in the last 12 months and verify that the required shipping papers have been properly completed in accordance with IBM, legal and other shipping requirements.

Guide Note: Do not sample shipments of hazardous materials, as this is tested by the HazMat Transportation PSA for IBM operations.

8. Product End of Life Management – Shipments to Non-OECD Countries (Sampling)

Select a representative sample of waste shipments to ensure that none were sent to non-OECD countries without first obtaining IBM written approval, in the past 12 months and verify compliance.

Guide Note: It is acceptable to ship UEEE to non-OECD countries.